30. Financial instruments and financial risk management continued

b) Credit risk continued

The composition of trade receivables at 31 December is as follows:

	2019 $ million	2018 $ million
Neither impaired nor past due	115.3	99.8
Past due but not impaired:		
– Less than 30 days overdue	8.6	16.8
– 30 to 60 days	3.6	3.2
– Over 60 days	1.2	3.6
Trade receivables	**128.7**	123.4

The Group closely monitors amounts due from customers and performs activities such as credit checks and reviews of payment history and has put in place appropriate credit approval limits. Based on these procedures, management assessed the quality of those receivables that are past due but not impaired as low risk.

The receivables' provision is based on expected credit losses. The movement on the provision during the year is given in note 20. The value of impaired trade receivables is $1.4 million (2018 $0.9 million). For all other financial assets, the maximum exposure to credit risk is represented by the carrying amount.

c) Liquidity risk

The Group's objective is to ensure that there are sufficient sources of funding to meet projected requirements. Its operations are financed through cash and cash equivalents held centrally and cash generated from operations.

At 31 December 2019, the Group had cash and cash equivalents of $183.2 million (2018 $121.6 million), of which $103.9 million (2018 $57.7 million) is available on demand and $79.3 million matures within three months (2018 $63.9 million matures within three months).

During 2019, the Group generated $119.3 million (2018 $60.2 million) of cash from operating activities and considers that, with current cash resources, debt only in relation to its lease liabilities and positive cash flow from its operating activities, it has adequate resources available to it to remain in operational existence for the foreseeable future.

The Group has entered into forward foreign currency exchange contracts at 31 December, all of which mature within three months. The gross settlement amounts of these contracts are as follows:

	2019 $ million	2018 $ million
Sale of US Dollars against Sterling	6.8	13.1

The Group has external debt in relation to its lease liabilities (note 26) but is otherwise debt free and does not have loans payable. Financial liabilities are trade and other payables, the majority of which are due to be settled within one year, and contractual provisions (note 28).

The Group does not have any other material financial contractual commitments.

d) Fair value of financial instruments

The carrying value of all financial assets and liabilities is a reasonable approximation of fair value.

Derivative financial instruments are stated at fair value although the amounts at 31 December 2019 and 2018 were immaterial.

Corporate owned life insurance is stated at fair value and is at Level 1 in the fair value hierarchy as the valuation of the linked investments is based on quoted prices in active markets.

e) Capital management

The primary objective of the Group's capital management is to support its business and maximise shareholder value. The Group's capital is its total shareholders' funds.

The Group manages its capital structure and makes adjustments to it in light of changes in economic conditions.

Spirent's policy on the payment of dividends to shareholders is to maintain a sustainable dividend.